



CENTER FOR STRATEGIC LEADERSHIP
U.S. ARMY WAR COLLEGE

INTERNATIONAL STRATEGIC CRISIS

ISCNE

NEGOTIATION EXERCISE



Arctic Scenario



UNITED STATES ARMY
WAR COLLEGE

The International Strategic Crisis Negotiation Exercise

Exercise Description and Guidance

Introduction

The International Strategic Crisis Negotiation Exercise (ISCNE) uses experiential learning to educate participants in the process of crisis negotiations at the international/strategic level.

Participants, as part of a delegation, will be challenged in leadership styles, negotiating techniques, and communications abilities to reach their team's desired end-state. Each delegation engages with counterparts, within the framework of a United Nations conference, to try to resolve a long-standing and potentially volatile crisis. An actual complete resolution to the presented issues is not an expectation, nor is it a reality. Delegations will have to contend with teams that each have their own desired end-state goals.

The crisis being exercised is over the region of the Arctic. Countries with interests in this region and involved in the negotiations are Canada, China, Denmark, Finland, Norway, Russia, and the United States. A Special Representative of the Secretary-General on the Arctic (SRSG) represents the UN. They will monitor developments, mediate negotiations and discussions, and report findings.

The key documents provided are the Arctic Scenario, Privileged Instructions, and relevant reference documents. As the name implies the Privileged Instructions are protected communications from each government to their negotiation delegations regarding the impending round of talks and need to be handled as such.

This type of exercise works best when conducted within the confines of a strict schedule. This allows the parties involved time to negotiate issues, pause to evaluate and adjust their negotiation strategies, and schedule and respond to negotiation requests. The structure may induce some frustration, but this is not unrealistic. Within the context of this exercise all parties have accepted a UN negotiation model which establishes the structure and employs a control group concept.

Preparation for the Exercise

It is highly recommended that each delegation find time to meet and prepare prior to the exercise.

Each delegation must have both a Head of Delegation (HOD) and a Team Communicator.

As the title implies, the HOD is the delegation lead. This person is responsible for providing direction to the delegation and is responsible to their superiors, in the form of their Foreign Minister/Secretary (FM/S). Which negotiation sessions the HOD elects to attend (or not to attend), is symbolic of their significance within diplomatic circles.

The Team Communicator is a full team member that has the additional duty of being the delegation's point of contact with the exercise control team. They are responsible for requesting and processing ad hoc negotiation invitations, team-to-team communication and diplomatic communiques as detailed below. This duty is critical for exercise execution.

Exercise Operations

As part of the United Nations' efforts, all parties agreed to the imposition of certain predetermined sessions and control mechanisms to ensure the proper conduct of the negotiations. For that purpose, a UN Control Group (UNCG) has been established, as the technical and administrative branch of the SRSG, to help manage the conduct of this peace conference and ensure implementation of the agreed mechanisms. These mechanisms are:

- **Ad Hoc Negotiation Scheduling:** Ad Hoc negotiation sessions are scheduled via an electronic system accessed by your delegation's communicator (not by direct delegation-to-delegation communication). Ad Hoc sessions must adhere to the negotiation periods set out in the exercise schedule. Sessions may be bilateral or multilateral and may be requested for 15- or 30-minute increments. Invited parties may *accept*, *decline*, or *ignore* the invitation. Once all invitees have responded, the system notifies all parties on whether the session will be held and if so, where. **Ad Hoc Negotiation Sessions only happen if all parties agree to attend.** A delegation may request and schedule as many negotiation sessions as it can support within the allotted time. **If you accept an invitation, you must attend the session.**

The SRSG will be available to meet with delegation(s) during Ad Hoc Negotiation sessions. All requests to meet with the SRSG are initiated in the same manner as ad hoc negotiation sessions. The SRSG has the option to call their own Ad Hoc Negotiation sessions; if so, these requests **cannot** be declined or ignored.

- **Diplomatic Communiqués:** These are messages to your nation's leadership to either provide reports or to request guidance. The FM/S will provide their cell phone number to the Head of Delegation and Team Communicator so that they can text directly. If a delegation would like to meet with the FM/S, he will come to your team room during Team Meeting periods.
- **Team-to-Team Communication:** Delegations are allowed to communicate with each other as they determine appropriate but **may not conduct negotiations outside of formally scheduled negotiation sessions.**
- **Exercise Schedule:** Adherence to the exercise schedule will be strictly enforced. Team Meeting periods are an extremely important element, as they are a time for internal team communication, evaluation/reevaluation of positions and interests of the other delegations, consultation with their FM/S, scheduling negotiation sessions, and establishing talking points for the next round of negotiations. Negotiation sessions between delegations can only take place during the scheduled negotiation periods.

Conduct of the Exercise

The exercise begins following the exercise overview brief. At the opening plenary session, chaired by the SRSG, role-playing portion of the exercise begins. Participants should remain in role throughout. Negotiation sessions and team meetings are confidential but conversations in common or public areas are subject to intelligence collection.

For the opening plenary each delegation should be prepared to present a 2-3 minute opening statement. Upon conclusion of the plenary participants will move to their team rooms and prepare for the commencement of negotiations. The first negotiation period consists of pre-scheduled bilateral sessions. Thereafter, all negotiation sessions will be Ad Hoc, conducted as described above. The first day concludes with an internal team evaluation of the day's events.

The second day begins with a Team Meeting period followed by the resumption of negotiations. At the end of the day teams will reassemble for a closing plenary chaired by the SRSG. *During the closing plenary each delegation will brief their current positions, assess the progress made, and offer options for any proposed way forward.* Specific instructions on the closing plenary will be sent to each delegation during the last Ad Hoc negotiation session. At the conclusion of the plenary participants will come out of role and the Army War College will facilitate an after-action review.

INTERNATIONAL STRATEGIC CRISIS NEGOTIATION EXERCISE

Arctic Scenario



The scenario utilized for this exercise depicts the dynamic geological and geopolitical rising tensions in the Arctic Circle. The scenario's purpose is to provide a near real world situation and set the stage for delegation team negotiations which are the primary actions of the exercise.

The scenario is hypothetical and has been designed solely as an aid to achieve participant educational learning objectives. All materials in this exercise are notional for educational purposes only. There is no attempt to be predictive or reach a real-world solution.

Read and understand the materials in this priority and order:

- | | |
|--------------|---|
| Required: | Your Delegation's Privileged Instructions (separate document) |
| | Recent Significant Events (p. 2) |
| | Publicly Held Positions (pp. 3-4) |
| | Negotiation Issues (pp. 9-15) |
| Recommended: | Brief History (pp. 5-8) |
| | Arctic Scenario References (Reference Link) |

Current Situation

With the continued effects of climate change the Arctic has increased human activity. The targets for global CO₂ emissions are having little impact on reducing, or reversing, ice pack losses. Recent historic Arctic ice minimums have allowed access to the Northern Sea Route (NSR) and Northwest Passage (NWP) for longer usage through the summer and fall months.

Arctic coastal nations have not had their continental shelf claims settled by the United Nations Commission on the Limits of the Continental Shelf (CLCS). As such, there lies a region outside of the United Nations Convention for the Law of the Seas (UNCLOS) delineated Exclusive Economic Zones (EEZ) where non-Arctic states have legal standing to exploit natural resources within. If the continental shelf claims of Canada, Denmark, Norway, and Russia, are granted portions of the currently available region would be subsumed by national jurisdiction for mineral exploitation.

Russia has re-opened Soviet-era bases along the Arctic and built up their Northern Fleet. NATO has refocused its effort to be able to react to military crises in the Arctic. Canada has established refueling stations in the Arctic and continued to build patrol vessels to monitor the NWP. Increased commercial shipping, through the NSR and NWP, have raised concerns about whether Arctic coastal states are able to provide search and rescue support. Canada has placed stringent regulations on ships, transiting the NWP, and as such require monitoring of vessels prior to NWP transit. Meanwhile Russia has instituted a 45-day prior notification requirement for any warship transiting the NSR.

Arctic fishing regulations have held the fishing limits to very low levels. With depletions of traditional Atlantic and Pacific Ocean fishing areas there is increased pressure to open up the Arctic's fishing limits. Several oil and natural gas extraction platforms are being constructed in Norwegian and Russian EEZs. Non-Arctic states are hesitant to explore the continental shelf areas still in CLCS committee. China's increased desire for energy has set its focus on the Arctic. With their growing ice breaker fleet, they have actively begun surveying the non-EEZ waters in the high Arctic.

The impact of the reduction of ice pack and permafrost areas have challenged the Arctic Indigenous Peoples' way of life. Fishing, hunting, and trapping have all been affected and continue to hinder native populations. Indigenous Peoples have been gaining recognition internationally and Canada, Finland, and Norway have included these groups in their Arctic policy decisions. Russia and the United States recognize their Indigenous populations but do not actively involve them in policy decisions.

With the lack of overarching governance in the Arctic, the United Nations is concerned that the increased focus on the Arctic, and the disputes of territory and resources may lead to a crisis. Due to this they have invited each delegation to negotiate a resolution to the differences present today.

Recent Significant Events

(*Notional Events)

2025

February 18: The United States and Russia discuss possible cooperation on energy projects in the Arctic at meeting in Saudi Arabia.

April 1: The winter 2024/2025 Arctic sea ice extent maximum determination was released. This year's maximum extent was the lowest recorded since the 2006 monitoring began. The maximum also occurred later than the 19-year average maximum.

May 12: Arctic Council Chairmanship was passed from Norway to Denmark. Denmark has stated that Greenland will take a paramount role in the chairmanship which will last into early 2027.

June 19: The Parliament of Finland passed an amendment to the Sámi Parliament Act. The amendment, which took over a decade to get passed, will improve self-governance on language, culture, as well as improve operating conditions of the Sámi Parliament.

November 28: Russia terminates rescue cooperation agreement for the Barents region. The joint emergency response agreement with Finland, Norway, Russia, and Sweden was signed in 2008 and facilitated cross-border rescue cooperation.

2026

January 25*: Norway agrees to host an Arctic dialogue conference at Trondheim. Founded in 997 CE Trondheim served as the Norwegian Viking Capital until 1217. As Norway's third largest metropolitan area it boasts beautiful surroundings and a long history.

February 20*: Delegations arrive in Trondheim from Canada, China, Denmark, Norway, Russia, and the United States. The Arctic dialogue conference is set to begin in the morning.

Publicly Held Positions

Canada:

In response to growing security concerns and geopolitical competition, Canada has updated its Arctic foreign policy to prioritize the protection of its sovereignty and national interests. This new strategy, influenced by increased Russian and Chinese military activity, emphasizes strengthening alliances with NATO members. A significant aspect of this updated policy is the resolution of boundary disputes, such as the long-standing issue with the U.S. over the Beaufort Sea. Canada also remains committed to international law as it works to define its continental shelf. The updated policy, co-developed with Indigenous partners, underscores the vital role of Indigenous peoples in the Arctic, ensuring their inclusion in governance and security discussions. Asserting sovereignty over the Northwest Passage continues to be a national security priority, with Canada aiming to gain international recognition of the passage as its internal waters.

China:

China is actively pursuing its goal of becoming a "polar great power," primarily through its "Polar Silk Road" initiative. By 2030, this initiative focuses on developing Arctic shipping routes, like the Northern Sea Route along Russia's coast, for faster trade and to access the region's vast natural resources. To legitimize its presence despite having no Arctic territory, China has labeled itself a "near-Arctic state" and uses scientific research to gain influence in regional affairs. Beijing's actions reveal a calculated effort to solidify its influence, secure resources, and establish itself as a key player in the region's future.

Denmark:

The Kingdom of Denmark's Arctic policy is a complex interplay of internal and external pressures, defined by the evolving relationship between Denmark, Greenland, and the Faroe Islands. Greenland, in particular, is asserting its autonomy and taking a leading role in shaping the Kingdom's Arctic agenda. This is clearly demonstrated by its new foreign and security strategy, "Nothing about us without us," and its leadership of Arctic Council as chairman. Externally, the Kingdom navigates its Arctic interests through its memberships in the EU and NATO, with the United States remaining a critical security partner in the region.

Finland:

Finland's Arctic strategy has been profoundly reshaped by its 2023 NATO membership, shifting its focus from military non-alignment to collective defense against a perceived threat from Russia. This new security posture is now the primary driver of its policy in the High North. Alongside security, Finland continues to promote sustainable development, particularly in mining, to support the EU's Green Deal. These economic ambitions create significant land-use conflicts with the indigenous Sámi people, whose rights and inclusion remain a central tenet of Finnish policy. The government officially supports the Sámi's role in decision-making and the preservation of their culture across their traditional homeland.

Norway:

Norway's Arctic policy has fundamentally shifted from "good neighborly" relations with Russia to a security-first strategy centered on its foundational role in NATO. While high-level political ties with Russia are frozen, practical cooperation on shared interests like fisheries management and border safety continues out of necessity. Economically, Norway's role as Europe's largest gas supplier has elevated the strategic importance of its Arctic oil and gas resources, leading to

continued exploration despite environmental controversy. This continued extraction is intended to support its national wealth fund and social programs. The indigenous Sámi people remain a key part of the region's population and are included in policy discussions.

Russia:

Russia's Arctic policy in 2025 focuses on asserting its sovereignty amidst growing geopolitical competition. Moscow has significantly militarized its northern territories as a defensive response to NATO's expansion. The government's "Arctic 2035" strategy prioritizes developing vast natural resources and transforming the Northern Sea Route (NSR) into a key global transport artery. These economic plans are significantly hampered by Western sanctions, which have delayed major energy projects. This pressure has pushed Russia into a deeper strategic alignment with China, which is now a partner for investment and NSR use. Russia remains wary of becoming overly dependent on Beijing. Moscow is growing more critical of international treaties like UNCLOS, viewing them as a constraint on its sovereignty.

United States:

The United States has shifted its Arctic policy from a focus on scientific research to a strategy centered on national security and strategic competition. The foremost priority is the defense of the U.S. homeland, leading to significant investments in modernizing radar systems and enhancing military readiness in Alaska. A cornerstone of U.S. policy is upholding the freedom of navigation through, under, and over the Arctic. Consequently, the U.S. maintains that the Northwest Passage and Northern Sea Route are international straits, challenging the regulatory claims of Canada and Russia. The U.S. strategy also actively counters China's ambitions as a "near-Arctic state" and its strategic partnership with Russia.

Historic Background

The Arctic Circle, centered on the North Pole, encompasses a region between 90-degrees North latitude down to 66-degrees North latitude. The Northern limits is an ice-covered ocean while the southern area is populated among three continents and their islands. Through the ages various indigenous tribes adapted to the harsh terrain and climate to establish a way of life. For over 30-thousand years, before the last Ice Age, populations have survived in these most inhospitable environments.

There is evidence in Scandinavia of settlements dating back to 9,000-8,000 BCE. Modern-day Eskimos trace their heritage over 5-thousand years after transiting the Bering Strait from Asia to North America. The waters and land have provided sustenance for generations.

Modern Era Arctic Exploration

Beginning in the 12th century European explorers sought to increase trade with the Far East by bypassing overland routes. Attempts to find a Northwest and/or Northeast Passage were wrought unsuccessful by the Arctic's brutal environment and hostile sailing conditions.

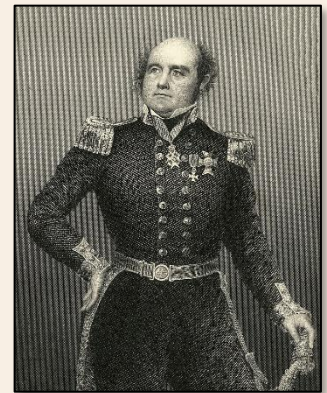
In the late 18th century European explorers made advancements in adapting to the climate. Their increased understanding of weather patterns and ability to have sufficient supplies pushed greater boundaries than before. In 1732 the Russian Admiralty was able to map thousands of kilometers of their Arctic geography through the Great Northern Expeditions along the Siberian coast. English Captain James Cooke documented a large majority of the North American Northwest coastline. Naval technology advanced designs to deal with ice pack and heavy seas. Devices to break the ice showed promise and meant that the possibility of trade through the Arctic may one day be possible.

The British Navy's Franklin expedition, sent to find the Northwest Passage, culminated in ship and crew being lost. The British Admiralty offered a reward to any party, or country, to render assistance to the crew or discover the ships of the party. The various rescue expeditions failed but it ultimately brought attention of the United States to the Alaskan coast. The Alaskan territory held abundant natural resources, and the eventual rush for whale oil, resulted in the U.S. purchasing Alaska from Russia in 1867.

In 1878 Adolf Nordenskiöld successfully navigated the Northeast Passage. In 1880 Canada claimed its Arctic archipelago from the British. This consisted of over 36-thousand islands. The Northwest Passage was finally conquered in 1903 by Norwegian Roald Amundsen. With both routes being confirmed and charted, after nearly 800 years of attempts, the chance for development finally came to fruition.

The Arctic was proving to be resource rich. The Klondike and Yukon gold rushes, Russian coal, nickel, and copper finds created great interest in the mineral resources within the Arctic. Oil and gas reserves in Northern Alaska, Siberia, Canada, and Norway have been discovered and heavily exploited in the 20th century. Further exploitation of the Arctic was sought by great powers in the forever challenge to control resources.

Following the First World War there was a great race to map and research the Arctic. Technologies were developed during the Great War that showed promise in ocean surveying. Echo sounders could determine seabed density and depth. With other oceanographic tools being developed, Western



Sir John Franklin



Spitsberg (Svalbard)

powers and Eastern powers began sending increased missions to survey and claim territory in the Arctic.

The uninhabited Spitsbergen Island grouping in the Arctic Ocean, discovered in 1596, was considered a "territory free of nation." Different nations utilized this area for industries such as fishing, whaling, mining, and research. Continuous conflicts over rights and sovereignty continued through WWI. In 1920 a treaty was prepared to grant sovereignty, of the Spitsbergen Islands, to Norway, with stipulations on Norwegian law restrictions on the islands. In 1925

the Spitsbergen Treaty was ratified by 14 "High Contracting Parties" that included Canada (as a dominion of the United Kingdom), Denmark, Norway, and the United States. Svalbard, as it was later renamed by Norway, became a special zone in that:

"The nationals of all the High Contracting Parties shall have equal liberty of access and entry for any reason or object whatever to the waters, fjords and ports of the territories specified in Article 1; subject to the observance of local laws and regulations, they may carry on there without impediment all maritime, industrial, mining and commercial operations on a footing of absolute equality."

China and Finland became signatories later in 1925 (Iceland signed on in 1994).

During World War II the Arctic became a strategic route for the Allies and their support to the USSR. Approximately 23% of the total aid supplied to the Soviet Union was delivered through the Arctic.

Exploration would take 8 years following WWII to start up again.

In response to post-war reconstruction and the political pulling of the U.S. and USSR for alliance members, the nations of Denmark, Iceland, Norway, and Sweden formed an inter-parliamentary body called the Nordic Council in 1952. The body increased membership with the inclusion of Finland in 1955. The purpose of the Nordic Council, initially, was to establish free-trade and a customs union. Later expansion, to include the Faroe Islands, Åland, and Greenland brought more concern for the Arctic region.

The Cold War: Arctic Militarization and Exploitation

With the development of Intercontinental Ballistic Missiles (ICBM) in the late 1950s it became apparent that the two super-powers saw the strategic importance of the Arctic. In 1958 the USS Skate (SSN 578) was the first submarine to break through the Arctic ice layer at the North Pole. The Soviets followed suit in 1962 with Leninsky Komsomol (K-3).

The advent of ICBMs outfitted on submarines, and the ability to break through the Arctic ice, made the ballistic missile submarine arms race a key pillar during the Cold War. Through the Strategic Arms Limitation Talks, between the Soviet Union and the U.S., ballistic missile-capable submarine numbers had tight restrictions on them.



Leninsky Komsomol (K-3)

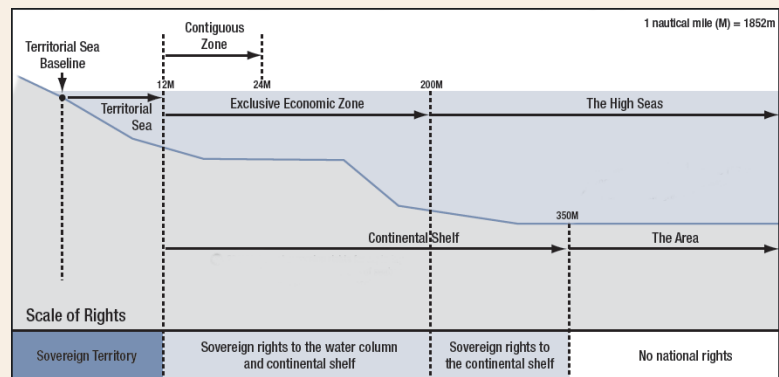
In 1962 the Soviet Union created the first petroleum extraction in the geological basin in Tazovsky. The U.S. began extraction in Prudhoe Bay in 1967. With global energy needs increasing, Canada and Norway began their own gas and petroleum exploration. The intersection of military activities and commercial exploration came to a head in 1987. Soviet Premier Mikhail Gorbachev introduced the

Murmansk Initiative in October. His initiative linked economic, environmental, and security issues in the Arctic and he desired the Arctic region to be an “international zone of peace among the Arctic powers.” Reaction to his speech began various reforms intended to achieve greater cooperation in the Arctic. Unfortunately, no significant reductions in military activity were achieved.

The Seabed and Ocean Floor

In 1970 the UN General Assembly passed a resolution (2749) on the Deep Seabed and Ocean Floor. The Declaration of Principles Governing the Seabed and Ocean Floor was used to state that the deep seabed and ocean floor beyond the limits of national jurisdiction are considered “common heritage of mankind.” The resources that may lie within these areas are to be developed in a peaceful manor, foster healthy development, and balance growth of international trade. This quickly resulted in Arctic coastal nations claiming their EEZ. It wasn’t until 1982 that UNCLOS established precise definitions of EEZs. Through UNCLOS the International Seabed Authority (ISA) was established to protect UNCLOS laws while nations continued mineral exploitation and exploration within defined EEZs.

The U.S. and Soviet Union were in dispute of their respective maritime boundaries. In 1990 both nations signed a treaty which delineated each maritime boundaries, to include areas in the Arctic. The boundary limits were in accordance with the previously established UNCLOS definitions and where disputed, they were resolved.



UNCLOS Delineations

Arctic Environment

Permafrost regions of Canada, Iceland, Norway, Sweden, Finland, Russia, and the U.S. are seeing changes in their ecosystem. With the effects of climate change the traditional year-round freezing has begun to break down. Greater and greater areas are being exposed due to snow and ice melt. Historically the snow and ice have covered areas that were lush with vegetation prior to the last ice age. With the receding snow and ice, the release of sequestered carbon trapped there has increased. This increase in carbon adds to the increased greenhouse gasses in the atmosphere and accelerates warming.

Additional concerns with exposure, of these historic permafrost areas, is that of ancient microbes and diseases. As dead animals, previously trapped under snow and ice for thousands of years, become exposed to air, the pathogens that lie dormant within them can potentially re-animate. With the potentiality of no immunity to such pathogens their release may adversely affect humans and animal species throughout the world. In 2016 an anthrax outbreak occurred on the Yamal Peninsula, Russia. After reindeer were mysteriously dying it was discovered that an ancient strain of anthrax was the cause.

At the same time the delicate balance of native flora and fauna are at risk. The ecosystem has developed to survive in these harsh conditions and with the rapid changes in temperature the potential for mass die-offs is growing. With the decrease in snow and ice, the greater expansion of exploration and exploitation of the natural resources brings increased human traffic to these areas more greatly impacting the delicate ecosystem.

In 1992 the United Nations Framework Convention on Climate Change (UNFCCC) was agreed upon. All Arctic states are signatories on this convention. Though the convention was established to combat climate change and reduce carbon emissions, it didn't directly mention the Arctic in its text. In 1997 the Conferences of the Parties (CMA) met in Kyoto, Japan to address additional climate concerns. Again, the Arctic was not specifically addressed within the agreement. More stringent carbon emission restrictions were placed on industrial nations. The U.S. is a signatory but did not ratify the protocol and Canada withdrew after ratifying. Denmark, Iceland, and Norway could not achieve the goals set out and had to resort to flexibility mechanisms within the protocol.

In 2015 parties met in Paris, France to work on a new climate agreement within the UNFCCC. The final agreement was signed in April 2016. All Arctic states signed the agreement and ratified it by the end of 2016. In June 2017 the U.S. announced their withdrawal from the agreement. Due to stipulations in the original agreement the earliest the U.S. could withdraw was November 2020.

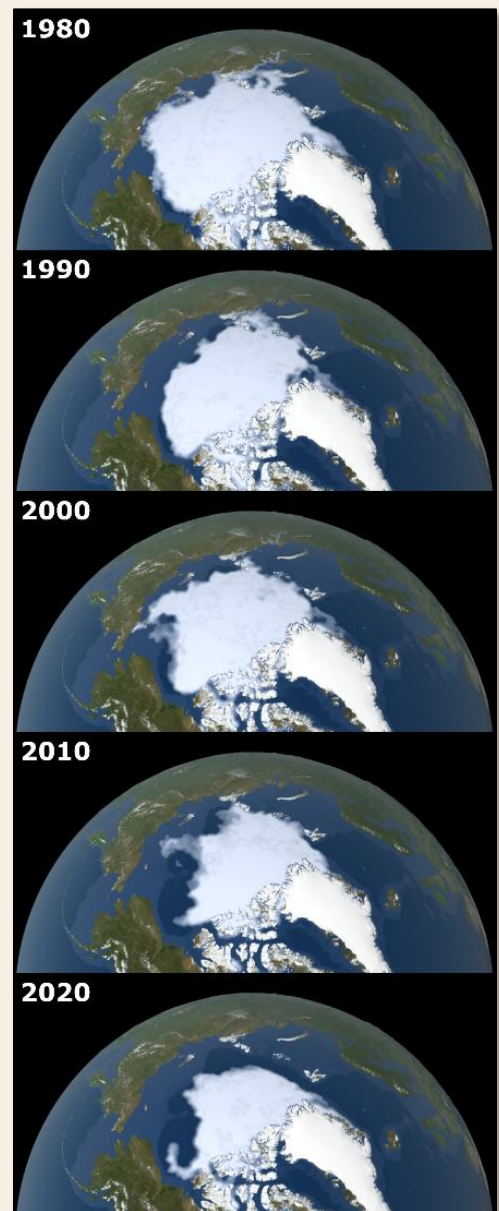
As part of the Paris Climate Agreement, in Article 14, the CMA requires periodic assessments of the implementation. These "global stocktakes" are to be conducted in a comprehensive and facilitative manner. The first global stocktake took place in 2023 and future stocktakes are to take place every five years.

Arctic Governance

As development of the Arctic increased there evolved competing claims and disagreements. The Arctic states took into their own hands the task of regulating the region.

In 1996 the Arctic Council was established as a forum to address common concerns. The founding member nations are Canada, Denmark, Finland, Iceland, Norway, Russia, Sweden, and the United States. To date an additional 38 non-Arctic nations are official observers. A unique aspect of the Arctic Council is the inclusion of Indigenous peoples of the Arctic.

The 'Arctic Five' consists of the five Arctic Ocean coastal states: Canada, Denmark, Norway, Russia, and the United States. The Arctic Five is not an official organization but rather an association of the five Arctic Ocean littoral states. The group met in 2008, 2010, and 2015, and they produced non-binding declarations regarding the international legal regime applicable to the Arctic and the prevention of unregulated fishing in the region.



Arctic Sea Ice Minimums

Negotiation Issues

Territory

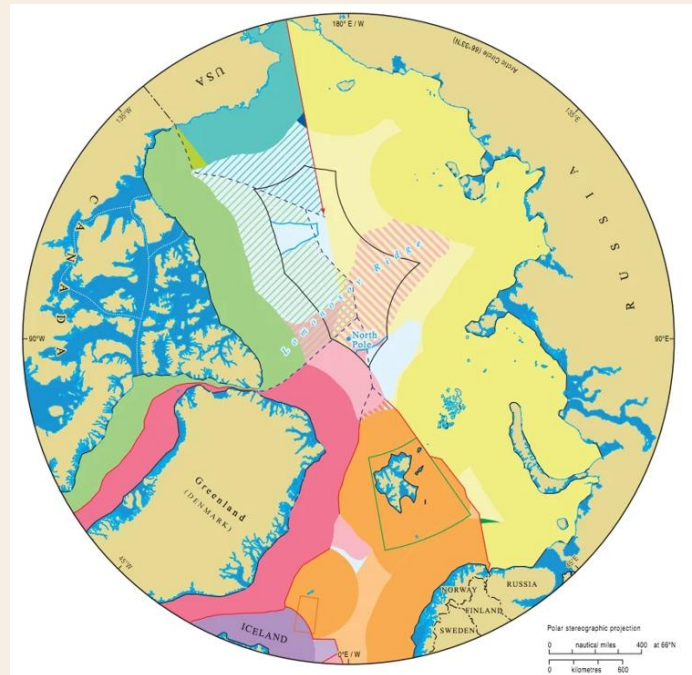
Under the United Nations Convention on the Law of the Sea (UNCLOS), coastal nations have sovereign rights over resources within their Exclusive Economic Zone (EEZ), which extends 200 nautical miles from their coastline. Beyond this, a nation can claim rights to the seabed and subsoil of an extended continental shelf (ECS) out to 350 nautical miles or more, provided it can submit scientific proof that the seabed is a natural prolongation of its landmass. These ECS claims are for seabed resources only and do not grant control over the water column or airspace.

As of 2025, the process of claiming the Arctic seabed is well underway. Significant overlapping claims along the Lomonosov Ridge from Russia, Canada, and Denmark (on behalf of Greenland) all extend over the North Pole. Russia has been particularly assertive, receiving partial validation from the UN's Commission on the Limits of the Continental Shelf (CLCS) for vast areas of its claim. In a major recent development, the United States, despite not having ratified UNCLOS, unilaterally defined its own extensive ECS in late 2023, including a large portion in the Arctic, citing customary international law. This move adds another layer of complexity to the region's overlapping jurisdictional puzzle.

While coastal Arctic states are in the process of staking their claims, the central Arctic seabed beyond their 200-nautical-mile Exclusive Economic Zones is governed by UNCLOS is open for unilateral exploitation. In February 2023, the CLCS issued recommendations that scientifically validated the data behind a majority of Russia's claim. This is not a final territorial award, as the CLCS does not rule on overlapping claims; those must be settled through bilateral or trilateral negotiations between the states involved. Meanwhile, the 1990 U.S.-Russia maritime boundary agreement, which defines the border in the Bering and Chukchi Seas, was ratified by the U.S. Senate in 1991 but has still not been ratified by the Russian Duma, though it is applied provisionally.

The 2008 Ilulissat Declaration, signed by the five coastal states (the "Arctic Five"), remains the foundational political agreement for the region. It commits them to settling disputes peacefully within the existing legal framework of UNCLOS and states there is "no need to develop a new comprehensive international legal regime to govern the Arctic Ocean." However, the cooperative spirit of the declaration has been severely tested since 2022, with most diplomatic and scientific engagement with Russia paused by the other Arctic states.

The legal status of the waters around Svalbard remains a point of significant contention, rooted in a conflict between the 1920 Svalbard Treaty and the 1982 UNCLOS. While the treaty grants Norway full sovereignty over the archipelago, it also gives signatory nations non-discriminatory rights to engage in economic activities within its territorial waters. The dispute arises from Norway's claim of a 200-nautical-mile Exclusive Economic Zone (EEZ) around Svalbard, arguing its sovereign right under UNCLOS.



Arctic Territory Claims

Russia and several other signatory nations contest this, asserting that the equal-access rights of the treaty should extend to the entire 200-nautical-mile zone, not just the territorial sea, thereby preventing Norway from claiming an exclusive zone. This disagreement has significant implications for the control of valuable fisheries and potential oil and gas reserves. To manage the situation pragmatically, Norway established a 200-nautical-mile Fisheries Protection Zone (FPZ) instead of a formal EEZ, allowing it to regulate fishing activities while the underlying legal dispute over resource rights remains unresolved. The geopolitical tensions with Russia have intensified this long-standing disagreement, elevating it from a legal debate to a matter of regional security and economic sovereignty.

Sea-lanes and Routes

The Arctic is traversed by two primary sea routes: the Northwest Passage (NWP) through Canada's Arctic Archipelago and the Northern Sea Route (NSR) along Russia's coastline. Citing UNCLOS Article 234, which allows for special environmental regulation in ice-covered areas, both Canada and Russia assert sovereign control over their respective passages. The United States, however, firmly contests this, maintaining that the NWP and NSR are international straits where all vessels, including military ones, have the right of transit passage without interference.



Arctic Sea-lanes and Routes

What was once a largely theoretical legal debate has now become a point of significant geopolitical friction, intensified by the melting ice and Russia's assertive military posture along the NSR. Russia, for instance, has implemented strict rules requiring foreign warships to give advance notice and use Russian pilots, effectively treating the route as its internal waterway. This clash over governance directly challenges the U.S. commitment to freedom of navigation, a principle it champions globally despite not being a signatory to UNCLOS. As climate change makes these routes more commercially and militarily viable, the dispute over their legal status has moved from a hypothetical argument to a central issue of Arctic security and international maritime law.

The legal clash over Arctic sea routes has intensified, moving beyond environmental regulation to become a central issue of

sovereignty and military posturing. While Canada and Russia maintain their right under UNCLOS Article 234 to enforce local regulations, and potentially exclude non-compliant ships, the U.S. counters that this cannot be used to impede the rights of transit passage through what it considers international straits. Russia has escalated this dispute by implementing strict rules for the NSR, requiring foreign warships to provide 45-day advance notice and use Russian pilots, a move the U.S. and its allies view as an unlawful assertion of sovereignty.

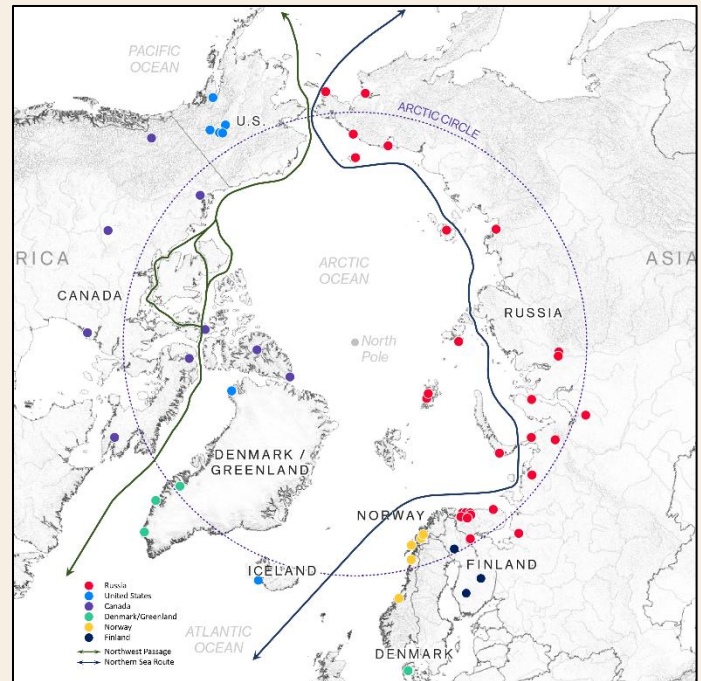
China, meanwhile, is leveraging this new reality to advance its "Polar Silk Road" strategy. Beijing is deepening its strategic partnership with Moscow to secure access to the NSR, which offers a faster, sanctions-free shipping route to Europe that bypasses U.S. naval influence. This Sino-Russian alignment is not just economic; it now includes joint naval exercises in the waters near the Arctic,

demonstrating a shared objective to challenge the Western-led order. To support this ambition, China has established a continuous presence in the region and is expanding its icebreaker fleet, including its domestically built vessel, the Xuelong 2, with more powerful ships under construction.

Militarization

Each Arctic state has initiated programs to enhance their capability and capacity to operate militarily in the region. From improved submarines (Russia, U.S.), ice breakers (Canada, China, Russia, and the U.S.), AEGIS-capable frigates (Norway), patrol craft (Canada), unmanned aerial vehicles (Canada), and Arctic capable ground forces (Canada, China, Norway, Russia, and U.S.). The fear of increased militarization in the region raises concern for international trade and freedom of navigation.

As more areas of the Arctic have become accessible, Russia has re-opened Arctic military bases that were closed following the fall of the Soviet Union. Russia has continued to upgrade, or construct bases, to grow their military presence in the Arctic. They have created Northern Fleet Joint Strategic Command with the stated purpose of protecting Arctic fishing and shipping, oil and natural gas fields on the Arctic shelf, and borders of the Arctic zone of the Russian Federation. The Northern Fleet accounts for two-thirds of the Russian Naval ship capacity. In September 2018 Russia conducted its largest military exercise since 1981. Vostok-18 was held in Siberia, Eastern Russia, and the Bering Sea. A submarine-based ICBM demonstration was conducted from the Barents Sea in December 2020. The Zapad 2021 exercise, held in Russian Arctic regions in September 2021, involved 200-thousand troops. Russia is also attempting to limit foreign warships from transiting the NSR without 45-day prior notification.



Arctic Military Bases

Canada has increased its investment in new patrol ships, berthing and refueling facilities (in Nanisivik), and a Canadian Forces Arctic Training Centre (in Resolute Bay). They hold joint sovereignty operations with Denmark and the U.S. through Operation Nanook. It was brought to light in December 2020 that Canada was training Chinese military troops in Arctic operations. These training events had been held annually, since 2013, but were cancelled in 2019. These exercises drew considerable concern from the U.S. and other Canadian allies.

Denmark has created an Arctic Response Force to better prepare their forces to conduct operations in the Arctic. The U.S. Navy has reactivated its 2nd Fleet, with responsibility for operations in the North Atlantic and Arctic region. The U.S. Army realigned Alaskan forces into the 11th Airborne Division in May 2022.

NATO is constantly enhancing their ability to respond to attacks in the Arctic region. During the Trident Juncture 2018 exercise, in Northern Norway and the North Atlantic and Baltic Sea, over 50-thousand troops participated. In June 2021, Finland, Norway, and Sweden hosted Arctic Challenge 21 with over 3,000 participants and 70 aircraft (including the new F-35 stealth fighter). NATO

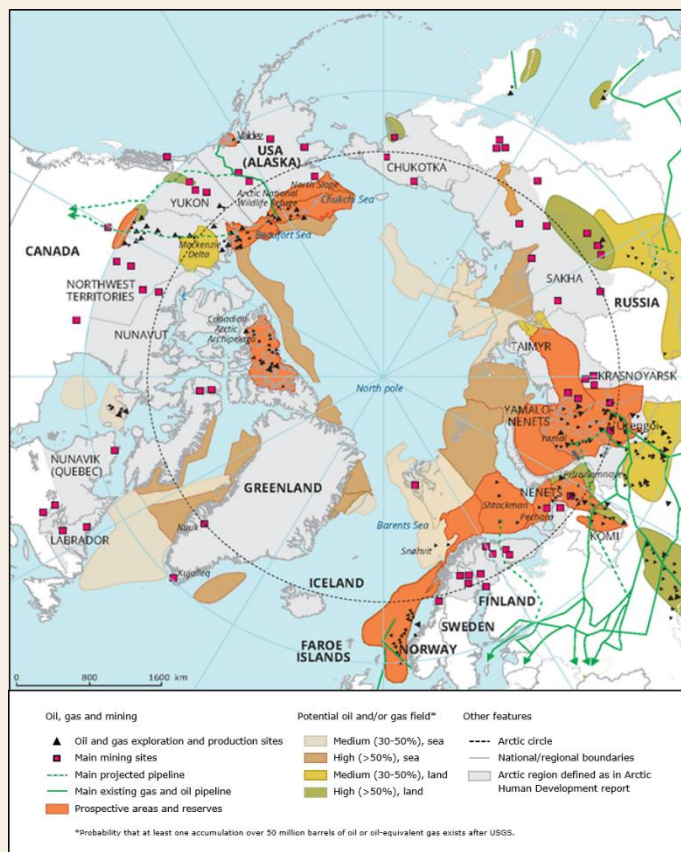
Exercise Cold Response 2022, in Norway and its surrounding waters, included over 30,000 troops from 27 countries.

With Russia's invasion of Ukraine, both Finland and Sweden formally applied for NATO membership. Finland became a member of NATO, in April 2023, with Sweden joining in March 2024. Sweden has remained neutral since its formal independence in 1814.

Resources

According to the 2008 U.S. Geological Survey (USGS) assessment the Arctic is estimated to hold significant fossil fuel reserves, approximately 13% of the world's undiscovered oil and 30% of its undiscovered natural gas. The vast majority (over 80%) of these resources are located offshore, presenting immense technical and financial challenges. The initial optimism for a rapid Arctic resource boom has been severely tempered by geopolitical and economic realities.

Western sanctions on Russia have crippled its ability to access the capital and advanced technology needed for new large-scale projects, causing significant delays for ventures like the Arctic LNG 2 facility. Simultaneously, Western energy firms face mounting pressure from investors and climate policies, making high-cost, high-risk Arctic exploration increasingly unattractive. As a result, the ambitious prediction that a large portion of global hydrocarbons would come from the Arctic by 2035 is no longer considered realistic. Instead, development has slowed, with Russia now turning to China for partnership while Western interest has significantly cooled.



Russia began oil drilling in 2012 in the Prirazlomnoye field on the Arctic shelf. The U.S. followed later in 2012 with drilling in the Beaufort Sea. Currently 90% of gas production and 60% of oil production in Russia comes from Arctic sources. Canada holds approximately 20% of the total undiscovered Arctic oil estimate. The U.S., in Arctic Alaska, holds estimates of over 30-billion barrels in reserve.

Norway has solidified its position as Europe's key gas supplier, with state-controlled Equinor continuing to operate and expand fields like Snøhvit in the Barents Sea. In a decisive environmental turn, Greenland's government officially halted all new oil and gas exploration in 2021, prioritizing its fishing industry and fragile ecosystem over potential hydrocarbon revenues.

China has no claim in the Arctic but are fostering bilateral relations with Iceland, Denmark, Norway, Russia, and Sweden. China continues to invest in infrastructure and energy companies to improve their global commercial

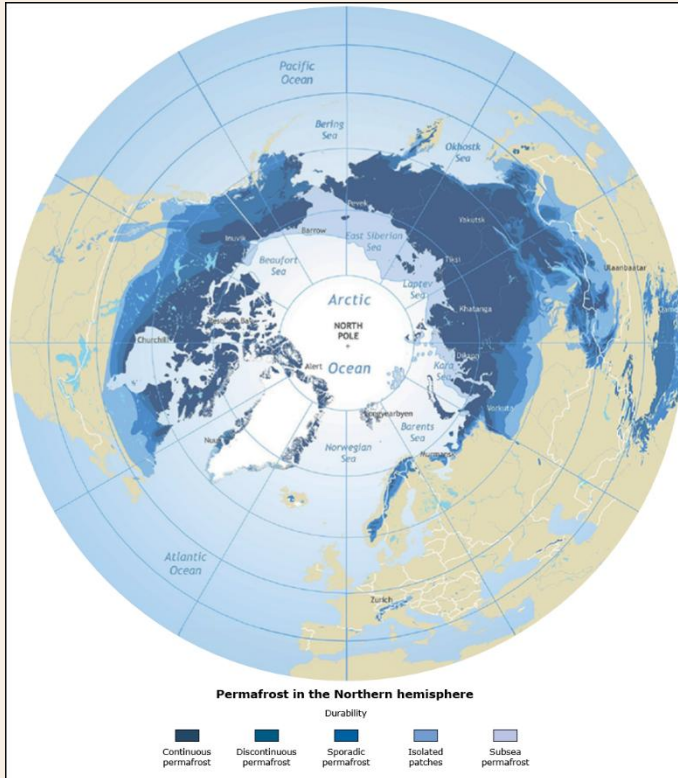
trading network and use these relationships to gain access to develop mineral and petroleum resources.

Licensing for the development, of estimated oil and natural gas fields, has been a source of contention as global conglomerates compete with state-controlled entities in China, Norway, and

Russia. State-control entities use other factors of their parent state, such as military cooperation and trade agreements, to slant the table away from non-state-run extraction companies.

Environment

The fragile marine and terrestrial ecosystem of the Arctic has experienced dramatic changes in recent decades as global sea and air temperatures continue to rise. The increased temperatures have reduced the permanent ice pack and exposed ancient flora and fauna. This exposure further exasperates rising temperatures due to increased greenhouse gas released in the process.



Arctic Permafrost

The Arctic's fragile ecosystem is experiencing an accelerated transformation due to "Arctic amplification," a phenomenon causing it to warm three to four times faster than the rest of the planet. This intense warming is causing a dramatic decline in the multi-year sea ice extent and thickness, with recent years consistently ranking among the lowest since satellite monitoring began in 1979. The scientific consensus has grown more urgent, with the latest climate models projecting the first ice-free Arctic summer could occur as early as the 2030s, decades sooner than previous estimates, even under stringent emissions-reduction scenarios.

This warming is also thawing vast areas of permafrost, releasing enormous quantities of trapped greenhouse gases like methane and carbon dioxide, creating a dangerous feedback loop that further accelerates global climate change. The Greenland Ice Sheet continues to lose mass at an alarming rate, and is now a

major contributor to global sea-level rise. Recent studies indicate that a significant portion of its future melt is now "locked in" and irreversible due to past warming, underscoring the stark reality that even achieving the Paris Agreement's most ambitious targets will not prevent profound and lasting changes to the Arctic environment.

The preservation of the Arctic's unique biodiversity is a critical global concern, now facing a dual threat from rapid climate change and increased human activity. The region is a vital habitat for millions of migratory birds and numerous marine mammals, whose existence is jeopardized by the northward expansion of industrial fishing, shipping traffic through newly opened sea routes, and the persistent risk of oil spills from resource extraction.

Russia, while publicly stating that environmental agreements should not hinder its economic development, continues to expand its network of specially protected natural territories. However, this conservation effort is increasingly overshadowed by its aggressive push for oil, gas, and mining projects. In stark contrast, Canada has solidified its commitment to preservation, co-managing vast protected areas with Inuit partners. The Tuvaijuittuq Marine Protected Area and the adjacent Tallurutiup Imanga National Marine Conservation Area now form one of the largest marine conservation zones in the world, providing a critical sanctuary for species like narwhals, bowhead whales, and polar bears in the face of mounting environmental pressures.

Governance

While the legal framework of UNCLOS still technically governs sovereign rights in the Arctic, its effectiveness has been critically undermined by the deep geopolitical rift that has emerged since 2022. The era of collaborative governance, once championed by forums like the Arctic Council and the spirit of the Ilulissat Declaration, has been replaced by a new reality of bloc-based strategic competition. The region is now effectively fractured into two opposing groups: the seven NATO-aligned Arctic states and a deepening Sino-Russian strategic partnership.

Calls for an integrated "regime complex" to peacefully manage new issues have been rendered obsolete by this division. Instead of a single, cooperative system, Arctic governance is now fragmented. The NATO allies are coordinating on security and defense, while Russia and China collaborate on economic and military objectives along the Northern Sea Route. This has transformed the Arctic from a zone of "low tension" into a potential frontline for great power conflict, where existing legal frameworks are strained and often selectively interpreted to serve competing national interests.

Not all Arctic states are signatories to UNCLOS, where a framework for disputes is established, and thus subject to its dispute mechanism. Various Arctic states are aligned in a variety of economic (eg. EU) and military (eg. NATO) organizations, but no single organization is all encompassing of Arctic states and state matters.

The Arctic Council, once the premier high-level forum for circumpolar cooperation, has been functionally paralyzed since 2022. The seven members, excluding Russia, paused all participation in official meetings, shattering the consensus-based model that explicitly excluded military security. The once-controversial warnings about Russian and Chinese ambitions, like those made by former U.S. Secretary of State Pompeo in 2019, now appear prescient as the region has become a clear arena for strategic competition. While the chairmanship was successfully transferred from Russia to Norway in 2023, it was a muted handover reflecting the deep diplomatic freeze.

The EU's long-standing application for permanent observer status remains deferred, and the role of current observers, particularly China, is now viewed with intense scrutiny through the lens of its strategic partnership with Russia. The Council's work has been fractured, with the remaining seven nations attempting to continue some projects without Russian involvement, but its future as a cohesive governing body remains in serious doubt.

The old criticism of the "Arctic Five" as an exclusive decision-making bloc has become largely obsolete. With the subsequent accession of Finland and Sweden to NATO, the old fault line between coastal and non-coastal states has been effectively erased. The primary dynamic is no longer one of exclusion within the Council, but of inclusion among the seven NATO-aligned Arctic nations. Their shared security interests are now focused on collective defense and countering Russia, making the previous concerns of Iceland, Finland, and Sweden about being sidelined a relic of a past diplomatic era.

Indigenous Peoples

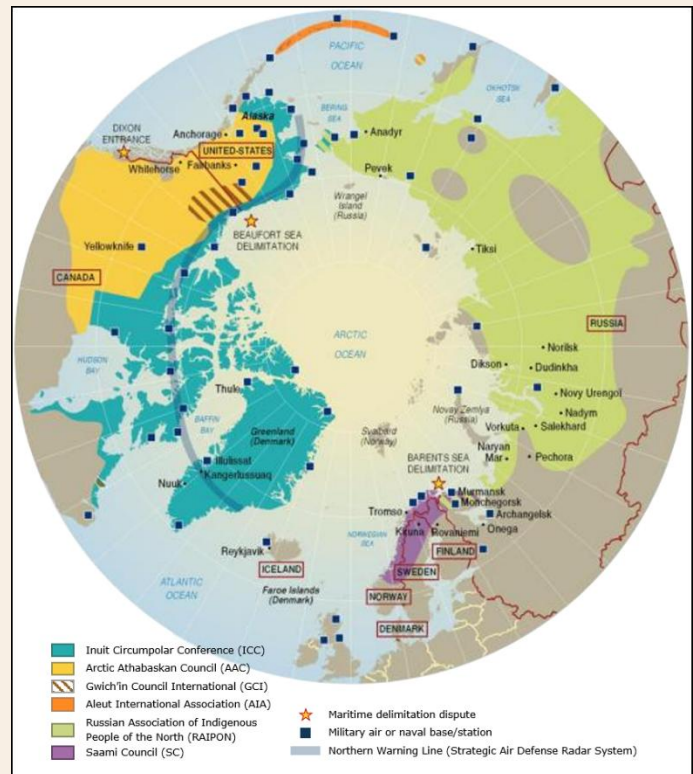
Indigenous peoples of the Arctic, representing more than 40 distinct ethnic groups, are increasingly asserting their rights and gaining influence in regional governance, though their power still varies significantly by nation. While they are Permanent Participants in the Arctic Council, their role has evolved beyond mere observers to active partners in shaping policy, a trend exemplified by Canada's implementation of the UN Declaration on the Rights of Indigenous Peoples (UNDRIP) into national law and its co-management of vast marine protected areas with Inuit communities. Similarly,

Greenland's leadership within the Kingdom of Denmark's current Arctic Council chairmanship underscores this shift toward greater self-determination.

However, this progress has been fractured by geopolitics. The unity of pan-Arctic Indigenous organizations has been broken, with groups like the Sámi Council severing ties with their counterparts in Russia. This has created a stark divergence: while Indigenous peoples in North America and the Nordic countries are securing more rights and co-governance roles, Indigenous communities in Russia face increased state pressure, suppression of activism, and disproportionate military conscription, critically undermining their cultural and political autonomy.

Indigenous peoples are a significant demographic in specific Arctic sub-regions, forming the majority in Canada's Nunavut territory and Greenland. The Inuit, whose homeland spans Greenland, Canada, Alaska, and Russia, are politically linked by the Inuit Circumpolar Council (ICC). Nunavut, established in 1999 through a landmark land claim, is home to roughly 40,000 people, the vast majority being Inuit, and serves as a model for Indigenous self-governance.

Similarly, the Sámi people, numbering around 100,000, inhabit northern Finland, Sweden, Norway, and Russia. They have their own parliaments in each Nordic country and a transnational Sámi Council. It is the Sámi in Finland and Sweden who are recognized as the only Indigenous people within the European Union. In Russia, the state officially recognizes only a fraction of its Indigenous population, and these communities face increasing political pressure that undermines their rights and self-determination, a stark contrast to the growing co-governance roles seen in North America and the Nordic countries.



Arctic Indigenous Peoples



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